September 2026 Residual Revenue: Variance Memo

To	CEO / Leadership Team
From	Finance & Operations
Date	October 9, 2026
Re	September residual revenue, partner payouts, and cash reconciliation

Bottom Line

September gross revenue was $60,574, down $1,984 (-3.2%) MoM; company net revenue was $39,573, down $1,864 (-4.5%). The full decline traces to two specific merchants. One closed (permanent) and one is missing from a processor report (recoverable, $2,243). Underlying growth continued: the M-012 ramp added $3,582. Cash is fully explained: $6,323 is timing that cleared on 10/02, and $355 of non-timing variance is being worked.

1. What Happened: Gross Revenue Bridge (Aug-26 to Sep-26)

Driver	Impact ($)	Type	Comment
August 2026 gross revenue	**$62,558**		**Per processor and gateway reports**
New merchant ramp (M-012, onboarded Jul-26)	+$3,582	Recurring	Ramping to full volume; tracking ahead of onboarding forecast
Merchant closure (M-005, closed 09/12)	($3,174)	Recurring loss	Account closed by merchant; residual stream ends
Missing residual on processor report (M-018)	($2,243)	One-time / recoverable	Merchant processed volume but no residual was reported
All other merchants (net)	($149)	Normal fluctuation	Within the ±10% MoM tolerance
September 2026 gross revenue	**$60,574**		**-3.2% MoM**

2. Financial Impact

Metric	Aug-26	Sep-26	Change	Change %
Gross revenue	$62,558	$60,574	($1,984)	-3.2%
Partner payouts	$21,121	$21,001	($120)	-0.6%
Company net revenue	**$41,437**	**$39,573**	**($1,864)**	**-4.5%**
Net retention (net ÷ gross)	66.2%	65.3%	-0.9 pts	

Net revenue fell faster than gross because of mix. The missing M-018 residual is a direct house account, so 100% of it is ours, while the offsetting growth came from M-012, a partner-referred merchant on a 35% split (part of which passes to a sub-partner through a split-of-split). Revenue we keep in full was replaced by revenue we share, so net retention fell.

3. Cash Reconciliation Status

Item	Amount ($)	Category	Status
Revenue per processor and gateway reports	$60,574		

Item	Amount ($)	Category	Status
Bank deposits received in September	$53,896		
Gateway G fees deposited 10/02	($6,323)	Timing	Cleared
Processor C chargeback clawback (M-011)	($310)	Processor adjustment	Open: support requested
Processor B portal fee netted from deposit	($45)	Fees	Closed: booked to expense
Unexplained variance	**$0**		**None**

4. Partner Payouts

September payouts earned were **$21,001**: $10,240 has been paid and **$10,761 is outstanding**. Partner Delta and Partner Gamma (Gamma is paid through Beta's split-of-split) will be released after reconciliation sign-off. Partner Beta received a 50% advance. Every payout ties to the calculation engine.

5. Risks

- **Report completeness:** M-018 shows that processor reports can silently drop merchants. Without the volume-vs-residual check, this would have been permanent leakage.
- **Concentration:** M-012 now accounts for about 20% of gross revenue. Losing or repricing it would have a material impact.
- **Partner mix:** as growth shifts toward partner-referred merchants, net retention compresses. Pricing new partner deals should take this into account.
- **Profitability scope:** net revenue is shown before operating costs. A true net profit figure needs a cost allocation, which is not yet defined.

6. Recommended Actions

#	Action	Owner	Due
1	Escalate M-018 to the Processor B rep; request a corrected September report and a catch-up payment ($2,243)	Finance Ops	11/15/2026
2	Obtain support for the Processor C $310 clawback; dispute it if the chargeback was reversed	Finance Ops	10/31/2026
3	Remove M-005 from the forecast run-rate; confirm the final residual	FP&A	10/20/2026
4	Make the volume-vs-residual exception check a standard month-end control	Finance Ops	Nov close
5	Add a concentration threshold (any merchant above 15% of gross) to the leadership dashboard	FP&A	Nov close